

The Customs and Central Excise Duties Drawback Rules, 2017

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The Customs and Central Excise Duties Drawback Rules, 2017

UNION OF INDIA

India

The Customs and Central Excise Duties Drawback Rules, 2017

Rule THE-CUSTOMS-AND-CENTRAL-EXCISE-DUTIES-DRAWBACK-RULES-2017 of 2017

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The Customs and Central Excise Duties Drawback Rules, 2017

Published vide Notification No. G.S.R. 1177(E), No. 88/ 2017-CUSTOMS (N.T.), dated 21st September, 2017

Ministry of Finance

(Department of Revenue)

G.S.R. 1177(E). - In exercise of the powers conferred by section 75 of the Customs Act, 1962 (

52 of 1962

) and section 37 of the Central Excise Act, 1944 (1 of 1944), the Central Government hereby makes the following rules, namely:-

1.

Short title, extent and commencement.

(1)

These rules may be called the Customs and Central Excise Duties Drawback Rules, 2017.

(2)

They extend to the whole of India.

(3)

They shall come into force on the 1st day of October, 2017.

2.

Definitions.

- In these rules, unless the context otherwise requires, -

(a)

"drawback" in relation to any goods manufactured in India and exported, means the rebate of duty excluding integrated tax leviable under sub-section (7) and compensation cess leviable under sub-section (9) respectively of section 3 of the Customs Tariff Act, 1975 (

51 of 1975

) chargeable on any imported materials or excisable materials used in the manufacture of such goods;

(b)

"excisable material" means any material produced or manufactured in India subject to a duty of excise under the Central Excise Act, 1944 (1 of 1944);

(c)

"export", with its grammatical variations and cognate expressions, means taking out of India to a place outside India or taking out from a place in Domestic Tariff Area (DTA) to a special economic zone and includes loading of provisions or store or equipment for use on board a vessel or aircraft proceeding to a foreign port;

(d)

"imported material" means any material imported into India and on which duty is chargeable under the Customs Act, 1962 (

52 of 1962

);

(e)

"manufacture" includes processing of or any other operation carried out on goods, and the term manufacturer shall be construed accordingly;

(f)

"tax invoice" means the tax invoice referred to in section 31 of the Central Goods and Services Tax Act, 2017 (12 of 2017

).

3.

Drawback.

(1)

Subject to the provisions of -

(a)

the Customs Act, 1962 (

52 of 1962

) and the rules made thereunder;

(b)

the Central Excise Act, 1944 (1 of 1944) and the rules made thereunder; and

(c)

these rules, a drawback may be allowed on the export of goods at such amount, or at such rates, as may be determined by the Central Government :

Provided that where any goods are produced or manufactured from imported materials or excisable materials, on some of which only the duty chargeable thereon has been paid and not on the rest, or only a part of the duty chargeable has been paid; or the duty paid has been rebated or refunded in whole or in part or given as credit, under any of the provisions of the Customs Act, 1962 (

52 of 1962

) and the rules made thereunder, or of the Central Excise Act, 1944 (1 of 1944) and the rules made thereunder, the drawback admissible on the said goods shall be reduced taking into account the lesser duty paid or the rebate, refund or credit obtained :

Provided further that no drawback shall be allowed -

(i)

if the said goods, except tea chests used as packing material for export of blended tea, have been taken into use after manufacture;

(ii)

if the said goods are produced or manufactured, using imported materials or excisable materials in respect of which duties have not been paid;

(iii)

on jute batching oil used in the manufacture of export goods, namely, jute (including Bimlipatam jute or mesta fibre) yarn, twist, twine, thread, cords and ropes;

(iv)

if the said goods, being packing materials have been used in or in relation to the export of -

(A)

jute yarn (including Bimlipatam jute or mesta fibre), twist, twine, thread and ropes in which jute yarn predominates in weight;

(B)

jute fabrics (including Bimlipatam jute or mesta fibre), in which jute predominates in weight;

(C)

jute manufactures not elsewhere specified (including Bimlipatam jute or mesta fibre) in which jute predominates in weight.

(2)

In determining the amount or rate of drawback under this rule, the Central Government shall have regard to, -

(a)

the average quantity or value of each class or description of the materials from which a particular class of goods is ordinarily produced or manufactured in India;

(b)

the average quantity or value of the imported materials or excisable materials used for production or manufacture in India of a particular class of goods;

(c)

the average amount of duties paid on imported materials or excisable materials used in the manufacture of semis, components and intermediate products which are used in the manufacture of goods;

(d)

the average amount of duties paid on materials wasted in the process of manufacture and catalytic agents:

Provided that if any such waste or catalytic agent is re-used in any process of manufacture or is sold, the average amount of duties on the waste or catalytic agent re-used or sold shall also be deducted;

(e)

the average amount of duties paid on imported materials or excisable materials used for containing or, packing the export goods;

(f)

any other information which the Central Government may consider relevant or useful for the purpose.

4.

Revision of rates.

- The Central Government may revise amount or rates determined under rule 3.

5.

Determination of date from which the amount or rate of drawback is to come into force and the effective date for application of amount or rate of drawback.

(1)

The Central Government may specify the period upto which any amount or rate of drawback determined under rule 3 or

revised under rule 4, as the case may be, shall be in force.

(2)

Where the amount or rate of drawback is allowed with retrospective effect, such amount or rate shall be allowed from such date as may be specified by the Central Government by notification in the Official Gazette which shall not be earlier than the date of changes in the rates of duty on inputs used in the export goods.

(3)

The provisions of section 16, or sub-section (2) of section 83, of the Customs Act, 1962 (52 of 1962

) shall determine the amount or rate of drawback applicable to any goods exported under these rules.

6.

Cases where amount or rate of drawback has not been determined.

(1)

(a)

Where no amount or rate of drawback has been determined in respect of any goods, any exporter of such goods may, within three months from the date relevant for the applicability of the amount or rate of drawback in terms of sub-rule (3) of rule 5, apply to the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, having jurisdiction over the place of export, for determination of the amount or rate of drawback thereof stating all the relevant facts including the proportion in which the materials or components are used in the production or manufacture of goods and the duties paid on such materials or components:

Provided that-

(i)

in case an exporter is exporting the aforesaid goods from more than one place of export, he shall apply to the Principal Commissioner or Commissioner of Customs, having jurisdiction over any one of the said places of export;

(ii)

the Assistant Commissioner of Customs or Deputy Commissioner of Customs, as the case may be, may extend the aforesaid period of three months by a period of three months and the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, may further extend the period by a period of six months;

(iii)

the Assistant Commissioner of Customs or Deputy Commissioner of Customs or Principal Commissioner of Customs or Commissioner of Customs, as the case may be, may, on an application and after making such enquiry as he thinks fit, grant extension or refuse to grant extension after recording in writing the reasons for such refusal;

(iv)

an application fee equivalent to 1% of the FOB value of exports or one thousand rupees whichever is less, shall be payable for applying for grant of extension to the Assistant Commissioner of Customs or Deputy Commissioner of Customs, as the case may be and an application fee of 2% of the FOB value or two thousand rupees whichever is less, shall be payable for applying for grant of extension to the Principal Commissioner of Customs or Commissioner of Customs, as the case may be.

(b)

On receipt of an application under clause (a), the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, shall, after making or causing to be made such inquiry as it deems fit, determine the amount or rate of drawback in respect of such goods.

(2)

(a)

Where an exporter desires that he may be granted drawback provisionally, he may, while making an application under clause (a) of sub-rule (1) apply to the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, that a provisional amount be granted to him towards drawback on the export of such goods pending determination of the amount or rate of drawback under clause (b) of that sub-rule.

(b)

The Principal Commissioner of Customs or Commissioner of Customs, as the case may be, may, after considering the application, allow provisionally payment of an amount not exceeding the amount claimed by the exporter in respect of such export:

Provided that the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, may, for the purpose of allowing provisional payment of drawback in respect of such export, require the exporter to enter into a general bond for such amount, and subject to such conditions, as he may direct; or to enter into a bond for an amount not exceeding the full amount claimed by such exporter as drawback in respect of a particular consignment and binding himself, -

(i)

to refund the amount so allowed provisionally, if for any reason, it is found that the duty drawback was not admissible; or

(ii)

to refund the excess, if any, paid to such exporter provisionally if it is found that a lower amount was payable as duty drawback:

Provided further that when the amount or rate of drawback payable on such goods is finally determined, the amount provisionally paid to such exporter shall be adjusted against the drawback finally payable and if the amount so adjusted is in excess or falls short of the drawback finally payable, such exporter shall repay to the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, the excess or be entitled to the deficiency, as the case may be.

(c)

The bond referred to in clause (b) may be with such surety or security as the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, may direct.

(3)

Where the Central Government considers it necessary so to do, it may,-

(a)

revoke the rate of drawback or amount of drawback, determined under clause (b) of sub-rule (1) by the Principal Commissioner of Customs or Commissioner of Customs, as the case may be; or

(b)

direct the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, to withdraw the rate of drawback or amount of drawback determined.

Explanation. - For the purpose of this rule, "place of export" means customs station or any other place appointed for loading of export goods under section 7 of the Customs Act, 1962 (

52 of 1962

) from where the exporter has exported the goods or intends to export the goods in respect of which determination of amount or rate of drawback is sought.

7.

Cases where amount or rate of drawback determined is low.

(1)

Where, in respect of any goods, the exporter finds that the amount or rate of drawback determined under rule 3 or, as the case may be, revised under rule 4, for the class of goods is less than eighty per cent. of the duties paid on the materials or components used in the production or manufacture of the said goods, he may, except where a claim for drawback under rule 3 or rule 4 has been made, within three months from the date relevant for the applicability of the amount or rate of drawback in terms of sub-rule (3) of rule 5, make an application to the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, having jurisdiction over the place of export, for determination of the amount or rate of drawback thereof stating all relevant facts including the proportion in which the materials or components are used in the production or manufacture of goods and the duties paid on such materials or components:

Provided that -

(i)

in case an exporter is exporting the aforesaid goods from more than one place of export, he shall apply to the Principal Commissioner or Commissioner of Customs, having jurisdiction over any one of the said places of export;

(ii)

the Assistant Commissioner of Customs or Deputy Commissioner of Customs, as the case may be, may extend the aforesaid period of three months by a period of three months and that the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, may further extend the period by a period of six months;

(iii)

the Assistant Commissioner of Customs or Deputy Commissioner of Customs or Principal Commissioner of Customs or Commissioner of Customs, as the case may be, may, on an application and after making such enquiry as he thinks fit, grant extension or refuse to grant extension after recording in writing the reasons for such refusal;

(iv)

an application fee equivalent to 1% of the FOB value of exports or one thousand rupees whichever is less, shall be payable for applying for grant of extension to the Assistant Commissioner of Customs or Deputy Commissioner of Customs, as the case may be and an application fee of 2% of the FOB value or two thousand rupees whichever is less, shall be payable for applying for grant of extension by the Principal Commissioner of Customs or Commissioner of Customs, as the case may be.

(2)

On receipt of the application referred to in sub-rule (1), the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, may, after making or causing to be made such inquiry as it deems fit, allow payment of drawback to such exporter at such amount or at such rate as may be determined to be appropriate, if the amount or rate of drawback determined under rule 3 or, as the case may be, revised under rule 4, is in fact less than eighty per cent. of such amount or rate determined under this sub-rule.

(3)

Provisional drawback amount, as may be specified by the Central Government, shall be paid by the proper officer of Customs and where the exporter desires that he may be granted further drawback provisionally, he may, while making an application under sub-rule (1), apply to the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, in this behalf in the manner as has been provided in clause (a) of sub-rule (2) of rule 6 for the application made under that rule along with details of provisional drawback already paid and the grant of further provisional drawback shall be considered in the manner and subject to the conditions specified in clauses (b) and (c) of sub-rule (2), and sub-rule (3) of rule 6, subject to the condition that bond required to be executed by the claimant shall only be for the difference between amount or rate of drawback determined under rule 3 or, as the case may be, revised under rule 4 by the Central Government and the provisional drawback authorised by the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, under this rule.

(4)

Where the Central Government considers it necessary so to do, it may,-

(a)

revoke the rate of drawback or amount of drawback determined under sub-rule (2) by the Principal Commissioner of Customs or Commissioner of Customs, as the case may be; or

(b)

direct the Principal Commissioner of Customs or the Commissioner of Customs, as the case may be, to withdraw the rate of drawback or amount of drawback determined.

Explanation. - For the purpose of this rule, "place of export" means customs station or any other place appointed for loading of export goods under section 7 of the Customs Act, 1962 (

52 of 1962

) from where the exporter has exported the goods or intends to export the goods in respect of which determination of amount or rate of drawback is sought.

8.

Cases where no amount or rate of drawback is to be determined.

- No amount or rate of drawback shall be determined in respect of any goods or class of goods under rule 6 or rule 7, as the case may be, if the export value of each of such goods or class of goods in the bill of export or shipping bill is less than the value of the imported materials used in the manufacture of such goods or class of goods, or is not more than such percentage of the value of the imported materials used in the manufacture of such goods or class of goods as the Central Government may, by notification in the Official Gazette, specify in this behalf.

9.

Upper Limit of Drawback amount or rate.

- The drawback amount or rate determined under rule 3 shall not exceed one third of the market price of the export product.

10.

Power to require submission of information and documents.

- For the purpose of -

(a)

determining the class or description of materials or components used in the production or manufacture of goods or for determining the amount of duty paid on such materials or components; or

(b)

verifying the correctness or otherwise of any information furnished by any manufacturer or exporter or other persons in connection with the determination of the amount or rate of drawback; or

(c)

verifying the correctness or otherwise of any claim for drawback; or

(d)

obtaining any other information considered by the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, to be relevant or useful, any officer of the Central Government specially authorised in this behalf by an Assistant Commissioner of Customs or Deputy Commissioner of Customs, as the case may be, may require any manufacturer or exporter of goods or any other person likely to be in possession of the same to furnish such information and to produce such books of account and other documents as are considered necessary by such officer.

11.

Access to manufactory.

- Whenever an officer of the Central Government specially authorised in this behalf by an Assistant Commissioner of Customs or Deputy Commissioner of Customs, as the case may be, considers it necessary, the manufacturer shall give access at all reasonable times to the officer so authorised to every part of the premises in which the goods are manufactured, so as to enable the said officer to verify by inspection the process of, and the materials or components used for the manufacture of such goods, or otherwise the entitlement of the goods for drawback or for a particular amount or rate of drawback under these rules.

12.

Procedure for claiming drawback on goods exported by post

(1)

Where goods are to be exported by post under a claim for drawback under these rules,-

(a)

the outer packing carrying the address of the consignee shall also carry in bold letters the words "Drawback Export";

(b)

the exporter shall deliver to the competent Postal Authority, alongwith the parcel or package, a claim in the Form at Annexure I, in quadruplicate, duly filled in.

(2)

The date of receipt of the aforesaid claim form by the proper officer of Customs from the postal authorities shall be deemed to be date of filing of drawback claim by the exporter for the purpose of section 75A and an intimation of the same shall be given by the proper officer of Customs to the exporter in such form as the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, may prescribe.

(3)

In case the aforesaid claim form is not complete in all respects, the exporter shall be informed of the deficiencies therein within fifteen days of its receipt from postal authorities by a deficiency memo in the form prescribed by the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, and such claim shall be deemed not to have been received for the purpose of sub-rule (2).

(4)

When the exporter complies with the requirements specified in the deficiency memo within thirty days of its return, he shall be issued an acknowledgement by the proper officer in the form prescribed by the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, and the date of such acknowledgement shall be deemed to be date of filing the claim for the purpose of section 75A.

13.

Statement/Declaration to be made on exports other than by Post

(1)
In the case of exports other than by post, the exporters shall at the time of export of the goods -

(a)
state on the shipping bill or bill of export, the description, quantity and such other particulars as are necessary for deciding whether the goods are entitled to drawback, and if so, at what rate or rates and make a declaration on the relevant shipping bill or bill of export that-

(i)
a claim for drawback under these rules is being made;

(ii)
in respect of duties of Customs and Central Excise paid on containers, packing materials and materials used in the manufacture of the export goods on which drawback is claimed, no separate claim for rebate of duty under the Central Excise Rules, 2002 or any other law has been or will be made to the Central excise authorities:

Provided that if the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, is satisfied that the exporter or his authorised agent has, for reasons beyond his control, failed to comply with the provisions of this clause, he may, after considering the representation, if any, made by such exporter or his authorised agent, and for reasons to be recorded, exempt such exporter or his authorised agent from the provisions of this clause;

(b)
furnish to the proper officer of Customs, a copy of shipment invoice or any other document giving particulars of the description, quantity and value of the goods to be exported.

(2)
Where the amount or rate of drawback has been determined under rule 6 or rule 7, the exporter shall make an additional declaration on the relevant shipping bill or bill of export that -

(a)
there is no change in the manufacturing formula and in the quantum per unit of the imported materials or components, if any, utilised in the manufacture of export goods; and

(b)
the materials or components, which have been stated in the application under rule 6 or rule 7 to have been imported, continue to be so imported and are not being obtained from indigenous sources.

14.
Manner and time for claiming drawback on goods exported other than by post.

(1)
Electronic shipping bill in Electronic Data Interchange (EDI) under the claim of drawback or triplicate copy of the shipping bill for export of goods under a claim of drawback shall be deemed to be a claim for drawback filed on the date on which the proper officer of Customs makes an order permitting clearance and loading of goods for exportation under section 51 and said claim for drawback shall be retained by the proper officer making such order.

(2)
The said claim for drawback should be accompanied by the following documents, namely:-

(i)
copy of export contract or letter of credit, as the case may be;

(ii)
copy of ARE-1, wherever applicable;

(iii)
insurance certificate, wherever necessary; and

(iv)
copy of communication regarding rate of drawback where the drawback claim is for a rate determined by the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, under rule 6 or rule 7 of these rules.

(3)
(a)
If the said claim for drawback is incomplete in any material particulars or is without the documents specified in sub-rule (2), shall be returned to the claimant with a deficiency memo in the form prescribed by the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, within 10 days and shall be deemed not to have been filed

for the purpose of section 75A.

(b)

where the exporter resubmits the claim for drawback after complying with the requirements specified in the deficiency memo, the same will be treated as a claim filed under sub-rule (1) for the purpose of section 75A.

(4)

For computing the period of one month prescribed under section 75A for payment of drawback to the claimant, the time taken in testing of the export goods, not more than one month, shall be excluded.

15.

Payment of drawback and interest.

(1)

The drawback under these rules and interest, if any, shall be paid by the proper officer of Customs to the exporter or to the agent specially authorised by the exporter to receive the said amount of drawback and interest.

(2)

The officer of Customs may combine one or more claims for the purpose of payment of drawback and interest, if any, as well as adjustment of any amount of drawback and interest already paid and may issue a consolidated order for payment.

(3)

The date of payment of drawback and interest, if any, shall be deemed to be, in the case of payment -

(a)

by cheque, the date of issue of such cheque; or

(b)

by credit in the exporter's account maintained with the Custom House, the date of such credit.

16.

Supplementary claim.

(1)

Where any exporter finds that the amount of drawback paid to him is less than what he is entitled to on the basis of the amount or rate of drawback determined by the Central Government or Principal Commissioner of Customs or Commissioner of Customs, as the case may be, he may prefer a supplementary claim in the form at Annexure II:

Provided that the exporter shall prefer such supplementary claim within a period of three months, -

(i)

where the rate of drawback is determined or revised under rule 3 or rule 4, from the date of publication of such rate in the Official Gazette;

(ii)

where the rate of drawback is determined or revised upward under rule 6 or rule 7, from the date of communicating the said rate to the person concerned;

(iii)

in all other cases, from the date of payment or settlement of the original drawback claim by the proper officer:

Provided further that -

(i)

the Assistant Commissioner of Customs or Deputy Commissioner of Customs, as the case may be, may extend the aforesaid period of three months by a period of nine months and that the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, may further extend the period by a period of six months;

(ii)

the Assistant Commissioner of Customs or Deputy Commissioner of Customs or Principal Commissioner of Customs or Commissioner of Customs, as the case may be, may, on an application and after making such enquiry as he thinks fit, grant extension or refuse to grant extension after recording in writing the reasons for such refusal;

(iii)

an application fee equivalent to 1% of the FOB value of exports or one thousand rupees whichever is less, shall be payable for applying for grant of extension by the Assistant Commissioner of Customs or Deputy Commissioner of Customs, as the case may be and an application fee of 2% of the FOB value or two thousand rupees whichever is less, shall be payable for applying for grant of extension by the Principal Commissioner of Customs or Commissioner of

Customs, as the case may be.

(2)

Save as otherwise provided in this rule, no supplementary claim for drawback shall be entertained.

(3)

The date of filing of the supplementary claim for the purpose of section 75A shall be the date of affixing the Dated Receipt Stamp on such claims which are complete in all respects and for which an acknowledgement shall be issued in the form prescribed by the Principal Commissioner of Customs or Commissioner of Customs, as the case may be.

(4)

(a)

Claims which are not complete in all respects or are not accompanied by the required documents shall be returned to the claimant with a deficiency memo in the form prescribed by the Principal Commissioner of Customs or Commissioner of Customs, as the case may be within fifteen days of submission and shall be deemed not to have been filed.

(b)

Where the exporter resubmits the supplementary claim after complying with the requirements specified in the deficiency memo, the same will be treated as a claim filed under sub-rule (1) for the purpose of section 75A.

17.

Repayment of erroneous or excess payment of drawback and interest.

- Where an amount of drawback and interest, if any, has been paid erroneously or the amount so paid is in excess of what the claimant is entitled to, the claimant shall, on demand by a proper officer of Customs repay the amount so paid erroneously or in excess, as the case may be, and where the claimant fails to repay the amount it shall be recovered in the manner laid down in sub-section (1) of section 142 of the Customs Act, 1962 (

52 of 1962

).

18.

Recovery of amount of Drawback where export proceeds not realised.

(1)

Where an amount of drawback has been paid to an exporter or a person authorised by him (hereinafter referred to as the claimant) but the sale proceeds in respect of such export goods have not been realised by or on behalf of the exporter in India within the period allowed under the Foreign Exchange Management Act, 1999 (

42 of 1999

), including any extension of such period, such drawback shall, except under circumstances or conditions specified in sub-rule (5), be recovered in the manner specified below:

Provided that the time-limit referred to in this sub-rule shall not be applicable to the goods exported from the Domestic Tariff Area to a special economic zone.

(2)

If the exporter fails to produce evidence in respect of realisation of export proceeds within the period allowed under the Foreign Exchange Management Act, 1999, or any extension of the said period by the Reserve Bank of India, the Assistant Commissioner of Customs or the Deputy Commissioner of Customs, as the case may be, shall cause notice to be issued to the exporter for production of evidence of realisation of export proceeds within a period of thirty days from the date of receipt of such notice and where the exporter does not produce such evidence within the said period of thirty days, the Assistant Commissioner of Customs or Deputy Commissioner of Customs, as the case may be, shall pass an order to recover the amount of drawback paid to the claimant and the exporter shall repay the amount so demanded within thirty days of the receipt of the said order: Provided that where a part of the sale proceeds has been realised, the amount of drawback to be recovered shall be the amount equal to that portion of the amount of drawback paid which bears the same proportion as the portion of the sale proceeds not realised bears to the total amount of sale proceeds.

(3)

Where the exporter fails to repay the amount under sub-rule (2) within said period of thirty days referred to in sub-rule (2), it shall be recovered in the manner laid down in rule 17.

(4)

Where the sale proceeds are realised by the exporter after the amount of drawback has been recovered from him under sub-rule (2) or sub-rule (3) and the exporter produces evidence about such realisation within a period of three months

from the date of realisation of sale proceeds, the amount of drawback so recovered shall be repaid by the Assistant Commissioner of Customs or Deputy Commissioner of Customs, as the case may be, to the claimant provided the sale proceeds have been realised within the period permitted by the Reserve Bank of India:

Provided that-

(i)

the Principal Commissioner of Customs or Commissioner of Customs, as the case may be, may extend the aforesaid period of three months by a period of nine months provided the sale proceeds have been realised within the period permitted by the Reserve Bank of India;

(ii)

an application fee equivalent to 1% of the FOB value of exports or one thousand rupees whichever is less, shall be payable for applying for grant of extension by the Principal Commissioner of Customs or Commissioner of Customs, as the case may be.

(5)

Where sale proceeds are not realised by an exporter within the period allowed under the Foreign Exchange Management Act, 1999 (

42 of 1999

), but such non-realisation of sale proceeds is compensated by the Export Credit Guarantee Corporation of India Ltd. under an insurance cover and the Reserve Bank of India writes off the requirement of realisation of sale proceeds on merits and the exporter produces a certificate from the concerned Foreign Mission of India about the fact of non-recovery of sale proceeds from the buyer, the amount of drawback paid to the exporter or the claimant shall not be recovered.

19.

Power to relax.

- If the Central Government is satisfied that in relation to the export of any goods, the exporter or his authorised agent has, for reasons beyond his control, failed to comply with any of the provisions of these rules, and has thus been entitled to drawback, it may, after considering the representation, if any, made by such exporter or agent, and for reasons to be recorded in writing, exempt such exporter or agent from the provisions of such rule and allow drawback in respect of such goods.

20.

Repeal and saving.

(1)

From the commencement of these rules, the Customs, Central Excise Duties and Service Tax Drawback Rules, 1995 shall cease to operate.

(2)

Notwithstanding such cesser of operation -

(a)

every application made by a manufacturer or an exporter for the determination or revision of the amount or rate of drawback in respect of goods exported before the commencement of these rules but not disposed of before such commencement shall be disposed of in accordance with the provisions of the Customs, Central Excise Duties and Service Tax Drawback Rules, 1995 as if these rules had not been made;

(b)

any claim made by an exporter or his authorised agent for the payment of drawback in respect of goods exported before the commencement of these rules but not disposed of before such commencement shall be disposed of in accordance with the provisions of the Customs, Central Excise Duties and Service Tax Drawback Rules, 1995 as if these rules had not been made;

every amount or rate of drawback determined under the Customs, Central Excise Duties and Service Tax Drawback Rules, 1995 and in force immediately before the commencement of these rules shall cease to operate in respect of goods exported on or after commencement of these rules.

Annexure-I

Form for claim of drawback under rule 12

Original

Duplicate

Triplicate

Quadruplicate

Part-I

Ref. Dbk.

Invoice No.

Dated:

Particulars Of Goods To Be Exported By Parcel Post Under Claim For Drawback

Form No.

To

The Assistant/ Deputy Commissioner of Customs (Drawback)

Foreign Post Office _____.

We, _____ propose to export the undermentioned consignment.

Name and Address of the Consignee _____.

Sl. No.

Date of Parcels

Gross Weight

Marks/ No. of Pcs.

Qty.

FOB Value

Rate of Net Dbk.

Weight

Amount

Rs. P.

(1)

(2)

(3)

(4)

(5)

(6)

(7)

(8)

(9)

1. Certified that goods were not taken into use after the manufacture.

2. Certified that no separate claim for rebate of duty has been made or will be made to the Central Excise Authorities under rule 18 or rule 19 of Central Excise Rules, 2002 and that the Customs and Central Excise duty has been paid on the raw materials used in the manufacture of the goods. We hereby declare that the declaration made herein is true and correct.

Strike out whatever is not applicable.

Dated:

Signature

Place:

Name

Official seal of the Exporter

Part-II

I have examined the above parcels which contain _____ detailed above. The parcels have been packed in my presence and sealed by me with lead/wax seal No. _____ bearing the following particulars _____.

Date:

Signature of the officer who examined and sealed
the consignment

Place:

Certified that the above noted parcels were examined, packed and sealed under my supervision.

Date:

Signature of Supdt. Of Customs/Central Excise

Place:

Part-III

Forwarded alongwith _____ parcels to the Superintendent, foreign Post Office, New Delhi. Postal receipt No. _____.

Post Master

Post Office

Date and Seal of Post Office

Part-IV

Inspected _____ parcels and found the seal intact. Examined _____ parcels where the seals were not found intact.

Pass for export

Please detain for further action

Date:

Signature of Examiner/ Inspector

Place:

Post Appraising Department

Seal of Office

(Place)

Part-V

Certified that the parcels detailed herein have been exported out of India on _____ by _____ Air/ Sea Ex. S.S. _____ . Forwarded to the Commissioner/ Principal Commissioner of Customs _____.

Date:

Signature of Examiner/ Inspector

Place:

Foreign Post Office

Annexure-II

Application for supplementary claim for drawback under rule 16

(Where the drawback received falls short of the rate finally fixed by the Government, application for supplementary claim of drawback should be made in the following form)

To

The Assistant/ Deputy Commissioner of Customs-in-charge

Drawback Department

We hereby make a supplementary claim for drawback of Customs/Central Excise which has been less paid to us as explained therein.

1. Exporter

(a)

Name

(b)

Address

(c)

Telephone No.

(d)

Name of Clearing Agent

2. Goods Exported

(a)

Description

(b)

Quantity

(i)

Gross

(ii)

Net

(c)

Marks & No.

(d)

Destination

(e)

Shipping Bill No. & Date

3. Vessel

(a)

Name

(b)

Rotation No.

4. Drawback already paid

(a)

Amount

(b)

Custom House Reference No.

(c)

Quantity/Value on which allowed

(d)

Rate at which allowed

5. Drawback not claimed

(a)

Amount

(b)

Quantity/Value on which allowed

(c)

Rate at which claimed

6. Reason for the supplementary claim.

7. No. of documents enclosed*

Declaration

1. I/We hereby declare that the supplementary claim of drawback is based on the Customs and Central Excise duties paid on the raw materials used in the manufacture of goods exported and that the duties so paid have not been claimed as rebate under the Central Excise Rules, 2002.

2. I/We hereby declare that the declaration made herein is true and correct.

Signature

Designation

Related AI tags, queries and research notes

Translation